

5.1 Economies and diseconomies of scale	Understanding how production, cost and decision making are related and of how economies and diseconomies of scale have an effect on the use and management of resources in the production of goods and services. An analysis of the main benefits and drawbacks of economies and diseconomies of scale: • economies of scale – internal (technical, managerial, trading, financial), external (location/concentration of business, skilled labour availability, reputation of area) • diseconomies of scale – limits to growth (too large bureaucracy, negative effect on employee empathy, channels of communication and labour relations).
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